Choosing the Challenge

Richard Rumelt

January 10, 2018

If you take a modern course on business strategy you will likely be exposed to a series of arguments and theories about the sources of above-normal profits. Starting with industry analysis (block entry and avoid price competition) and moving on to concepts of rare and difficult to imitate resources, pushing yet further on to network effects and two-sided markets, you will acquire some facility with various terms describing competitive advantage. To top it off, you will learn some of the rudiments of game theory as applied to industrial organization settings.

I taught courses like this at UCLA for a number of years, gradually becoming uncomfortable with the content, then strongly dissatisfied. One source of annoyance was a belief that defining the subject matter of strategy in economic terms was, itself, a bad strategy. It pretty much ensured that one would be, over the long term, eclipsed by real economists. But the other, much more powerful, source of frustration was that these school-room concepts, by now enshrined in so many texts and articles, were of little help in actually dealing with strategic issues facing real firms. Real firms did not seem so have that much trouble understanding the sources of past profit. Rather, they struggled with what to do next, with which issues were salient and which were not, with dramatically conflicting visions of what the competitive struggle was actually about, with a host of cognitive dysfunctions, and with undercover power plays disguised as action programs. As Gary Hamel pointed out

> Of course, everyone knows a strategy once they see one--be it Microsoft's, Nucor's, or Virgin Atlantic's. Anyone can recognize a great strategy after the fact. We also understand planning as a "process." The only problem is that process doesn't produce strategy--it produces plans. The dirty little secret of the strategy industry is that it doesn't have any theory of strategy creation.[1]

[1] Gary Hamel, “Killer Strategies That Make Shareholders Rich,” *Fortune*, June 23, 1997, pg. 70.

It took me a number of years to crystalize my point of view on this dilemma. Much of that thinking is encapsulated in *Good Strategy/Bad Strategy: The Difference and Why It Matters*.[2] In essence, I came to the view that whereas academics tended to view strategy work as analysis, and business people tended to see it as planning, it is much more usefully seen as a particular form of problem-solving. In talks and presentations, I define it like this: *A strategy is a coherent mix of policy and action designed to surmount a high-stakes challenge.*

I say a "particular form" of problem-solving because most strategy situations are unstructured. The idea of unstructured problems (or decisions) was first described in detail by Cyert, Simon, and Trow[3]. Despite the many words that have been spilled since trying to describe difficult problem settings,[4] it is hard to improve on their original explanation:

1. The alternatives are not usually "given" but must be sought, and hence it is necessary to include the search for alternatives as an important part of the process.
2. The information as to what consequences are attached to which alternatives is seldom a "given," but, instead, the search for consequences is another important segment of the decision-making task.
3. The comparisons among alternatives are not usually made in terms of simple, single criterion like profit. One reason is that there are often important consequences that are so intangible as to make an evaluation in terms of profit difficult or impossible. In place of searching for the "best" alternative, the decision maker is usually concerned with finding a satisfactory alternative one that will attain a specified goal and at the same time satisfy a number of auxiliary conditions.
4. Often, in the real world, the problem itself is not a "given," but, instead, searching for significant problems to which organizational attention should be turned becomes an important organizational task.

---

[2] Rumelt, Richard, *Good Strategy/Bad Strategy: The Difference and Why It Matters*, Crown Business, 2011.

[3] Cyert, Richard M., Herbert A. Simon, and Donald B. Trow. "Observation of a Business Decision." *The Journal of Business* 29, no. 4 (1956): 237–48

[4] See the voluminous literature on design-type problems and on abductive reasoning.

Before elaborating on the nature of unstructured problems, it is useful to note that a great many structured problems are very hard to solve or may even be unsolvable. For example, there is no fool-proof computer program which reliably finds the $\mathbf{x}$ which for which an arbitrary objective function $f(\mathbf{x})$ takes on a globally maximum value. Another example of a very hard structured problem is fabric cutting: given a large set of shapes to be cut from a piece of fabric, how can they be arranged to minimize the waste? So, there is no guarantee that just because a problem is "structured" a rational actor can solve it.

We look at unstructured problems, not because they are "harder" than all structured problems, but because the methods and algorithms and approximations used in structured situations don't work for unstructured problems. In unstructured situations, although there may be an objective (win the war, raise decent children, increase shareholder value), there is usually no given list of potential actions or a mapping between potential actions and the objective. It is this lack of an action-to-objective mapping which renders almost useless broad statements of goals and desires. There are simply no connections between feasible actions and broad objectives such as "win a Noble Prize" or "get rich" or "increase shareholder value."

Importantly, saying that strategy is a form of problem-solving puts great emphasis on the identification and characterization the central problem or challenge. It is well-nigh impossible to solve a problem you have not defined. Darwin struggled long with the problem of how new species arose, immersing himself in data on species and their distribution. His insight about variety and selection would not have occurred to a mind unprepared with either the question or his data. Similarly, you are not likely to stumble on the solution to quantum gravity if you are unaware of the conflicts between quantum mechanics and general relativity. Finally, "If the challenge is not defined, it is difficult or impossible to assess the quality of the strategy. And if you cannot assess a strategy's quality, you cannot reject a bad strategy or improve a good one."[5]

Moving away from defining strategy in terms of product-market competition also opens up the consideration of other types of challenges. If strategy is dealing with your most important challenge then perhaps that challenge is organizational, or political, or even philosophical. Further, a challenge-

[5] Rumelt (2011, p.41).

based approach to strategy encompasses individuals, small law offices, large companies, non-profits, government agencies, and even nation-states.

How does one identify the crucial challenge facing an organization? The quick answer is by judgment—by examining many facts, events, desires, and patterns of action and then guessing the key obstacle to forward development. If you want to sound scholarly, you can call this abductive reasoning. Writing about abductive logic in design, Dorst[6] observed that

> Experienced designers can be seen to engage with a novel problem situation by searching for the central paradox, asking themselves what it is that makes the problem so hard to solve. They only start working toward a solution once the nature of the core paradox has been established to their satisfaction.

Interviewing CEOs about their company's strategy, and being shown a new initiative, I often ask "Why is this hard to do?" If things go well, this question can unlock a conversation about the real challenges facing the company, issues and obstacles not mentioned in the strategy. It is then useful to ask "Is this initiative likely to surmount those challenges?" Very often the answer is "No." Rather, the initiative is actually a hoped-for state of affairs which is unlikely to come about because of the unaddressed obstacles and challenges. For example, a client self-diagnosed his company's critical problem as cost—competitors' margins seemed higher. His solution was a cost reduction program. When I probed into how this program would work, comparisons across existing plants around the world seemed to be the driving force. There was little texture as to how this would translate into lower costs. Putting together an analytical team, we found, after a month of fussing with incompatible data sources, that there was no correlation between profitability and cost across 75 plants. Low margins were associated with nearby competitors, not high costs.

The strategist must replace broad desires with challenges lying within the realm of the solvable—challenges which apparently connect to broad desires but which also lie within the reach of current skills and resources. Put differently, the challenge should admit to informed ideas and insights into how

---

[6] Dorst, Kees. "The Core of 'Design Thinking' and Its Application." *Design Studies* 32, no. 6 (2011): 527.

actions probably connect to outcomes and how those outcomes may connect with overall objectives. Thus, the concentrated essence of strategic judgment is in choosing a challenge which is both solvable and whose surmounting will lead to the most significant positive outcomes. Working this balance between what is important and what is potentially achievable is the heart of the matter.